

Labor Income Taxes and Transfers: Evidence

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- Last lecture: Theoretical groundwork to understand effect of taxes and identify two elasticities needed for optimal policy at top and bottom incomes
 - ① EITC: Is the extensive (participation) margin elasticity and the phase-in intensive margin elasticity larger than the phase-out intensive margin elasticity?
 - ② Top marginal rate: How large is the top income elasticity?
- Will also discuss additional outside-the-model considerations

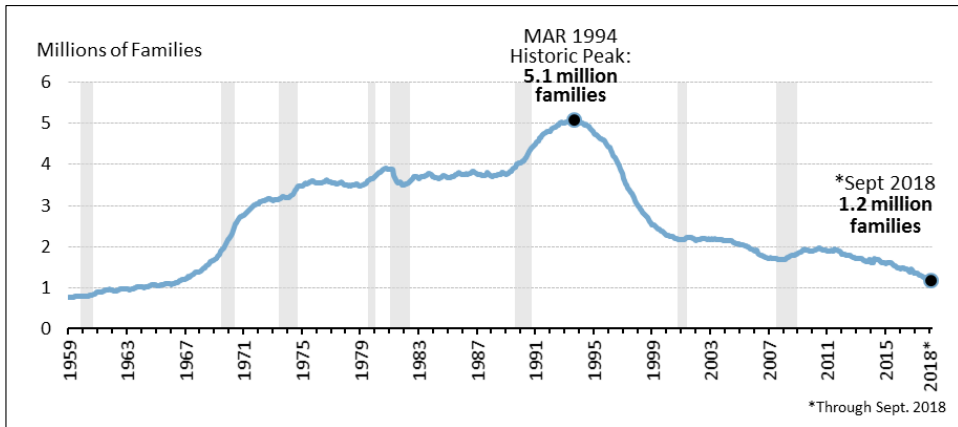
Responses to Low-Income Transfer Programs

- Particular interest in treatment of low incomes in a progressive tax/transfer system: are they responsive to incentives?
- Complicated set of transfer programs in US
- In-kind: food stamps, Medicaid, public housing, job training, education subsidies
- Cash: TANF, EITC, SSI
- US government (fed+state and local) spends roughly \$1.2 trillion today on income-tested programs
 - About 75% is health care (Medicaid, ~\$900 billion)
 - Only ~\$170 billion in cash

1996 US Welfare Reform

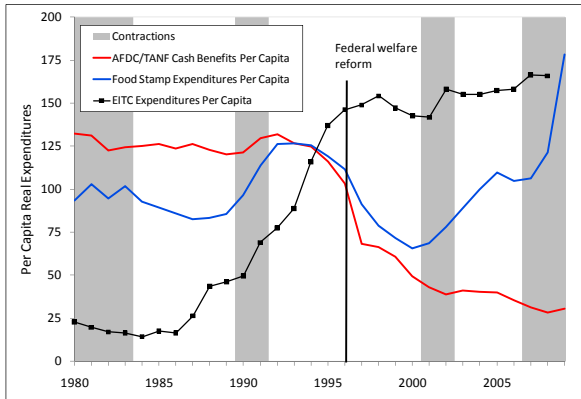
- Largest change in welfare policy
- Reform modified AFDC cash welfare program to provide more incentives to work (renamed TANF)
 - Requiring recipients to go to job training or work
 - Limiting the duration of benefits (5 year max lifetime)
 - Reducing phase out rate of benefits
- States got welfare waivers from Federal government to experiment during 1992-1996 before Federal welfare reform
- EITC also expanded during this period: general shift from welfare to “workfare”
- Did welfare reform and EITC increase labor supply?

Figure 2. Number of Families Receiving Cash Assistance, July 1959-September 2018



Source: Congressional Research Service (CRS) with data from the U.S. Department of Health and Human Services (HHS).

The landscape providing assistance to poor families with children has changed substantially



Source: Bitler and Hoynes, Brookings Papers on Economic Activity, 2011.

Randomized Welfare Experiment: SSP Welfare Demonstration in Canada

- Canadian Self Sufficiency Project (SSP): randomized experiment that gave welfare recipients an earnings subsidy for 36 months in 1990s (but need to start working by month 12 to get it)
- 3 year temporary participation tax rate cut from average rate of 74.3% to 16.7% [get to keep 83 cents for each \$ earned instead of 26 cents]
- Card and Hyslop (EMA 2005) provide classic analysis. Two results:
 - ① Strong effect on employment rate during experiment (peaks at 14 points)
 - ② Effect quickly vanishes when the subsidy stops after 36 months (entirely gone by month 52)

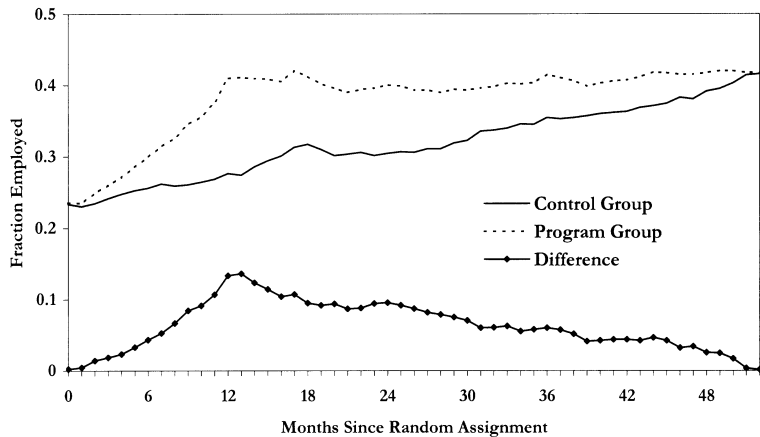


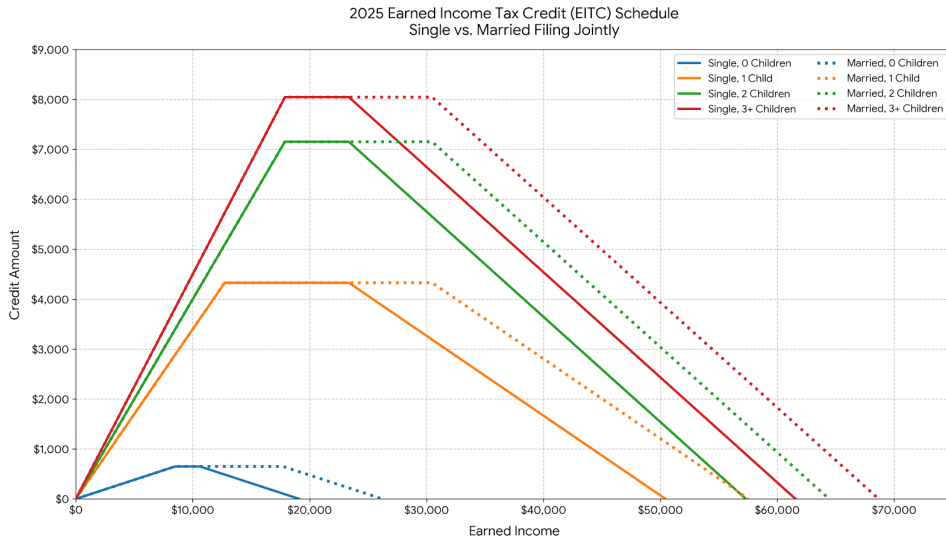
FIGURE 3.—Monthly employment rates.

Source: Card and Hyslop, 2005, p. 1734

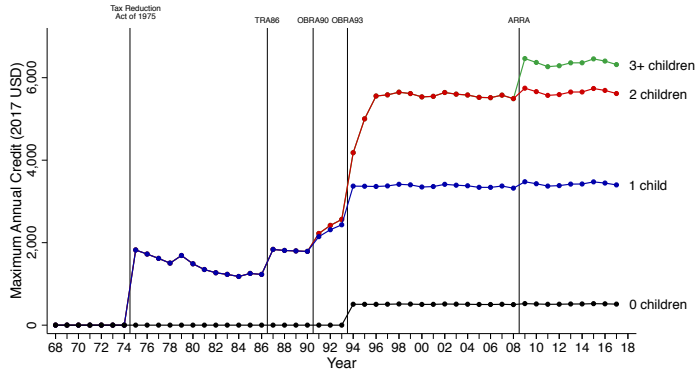
Earned Income Tax Credit (EITC) Program

- EITC started small in the 1970s but was expanded in 1986–88, 1994–96, 2008–09
- Today, largest means-tested cash transfer program [\$70bn in 2019, about 24m recipient families]
- Eligibility: families with kids and low earnings.
- Refundable tax credit: administered through income tax as annual tax refund received in Feb–Apr, year $t + 1$ (for earnings in year t)
- EITC has flat pyramid structure with phase-in (negative MTR), plateau (0 MTR), and phase-out (positive MTR)
- Theoretically, EITC should encourage labor-force participation (extensive labor supply margin)
- Kleven (2024): compares participation of single women (ages 20–50) with kids (treatment) vs without kids (control)

2025 Earned Income Tax Credit (EITC) Schedule



EITC Maximum Credit Over Time



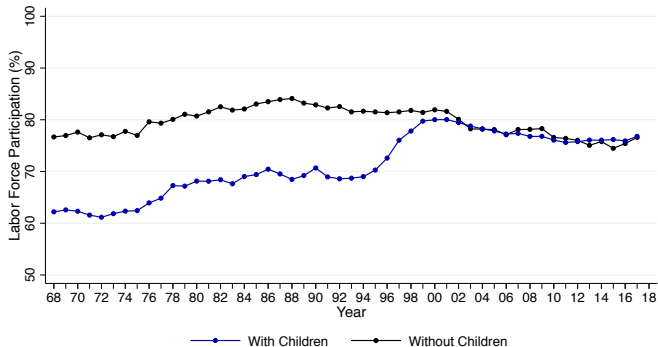
Source: Kleven (2018)

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Source: Kleven (2024)

Labor Force Participation of Single Women

With and Without Children



Source: Kleven (2018)

Annual Employment

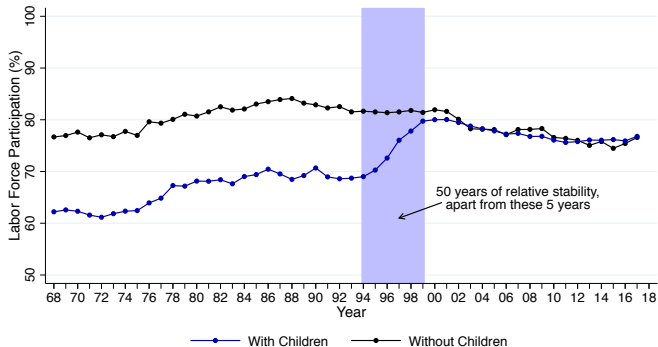
Low Education

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Source: Kleven (2024)

Labor Force Participation of Single Women

With and Without Children



Source: Kleven (2018)

Annual Employment

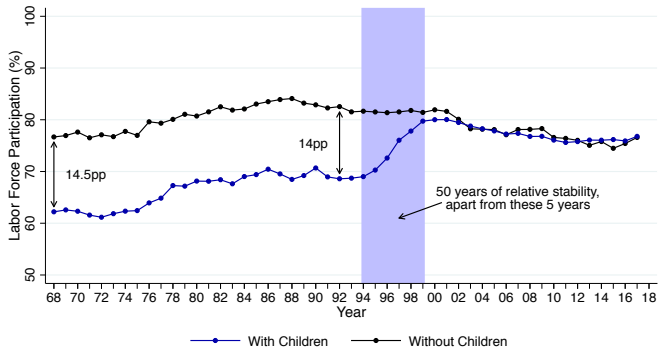
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Source: Kleven (2024)

Labor Force Participation of Single Women

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Source: Kleven (2018)

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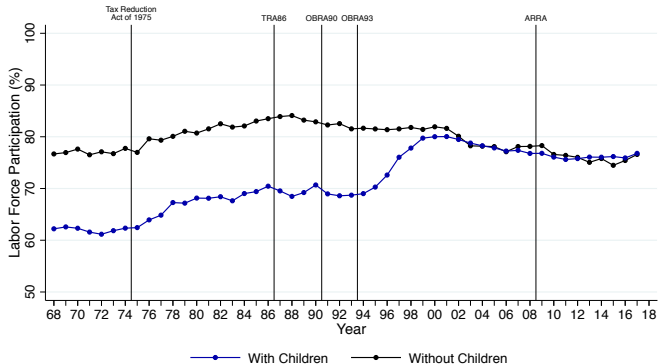
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Source: Kleven (2024)

Labor Force Participation of Single Women

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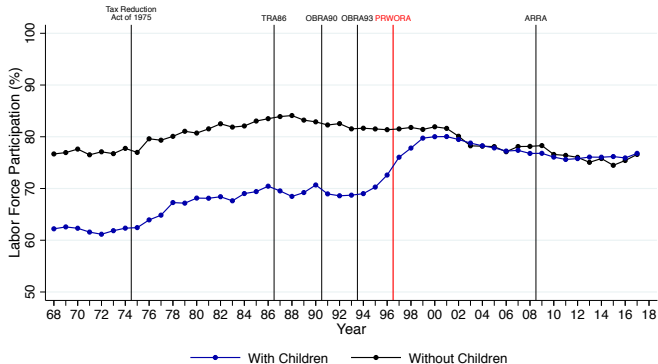
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Source: Kleven (2024)

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Labor Force Participation of Single Women

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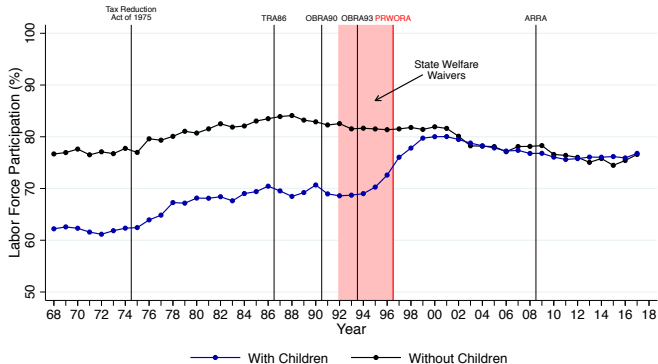
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Labor Force Participation of Single Women

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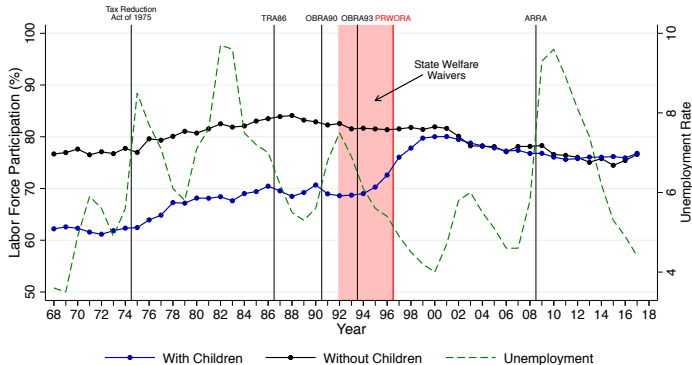
Low Education

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Source: Kleven (2024)

Labor Force Participation of Single Women

With and Without Children



Source: Kleven (2018)

Annual Employment Low Education

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Source: Kleven (2024)

Welfare Reform and EITC Expansion: Labor Supply

- Kleven (2024) who looks at participation of single women (aged 20-50) with kids (treatment) vs without kids (control)
- Large increase in labor force participation of single mothers during the 1990s during welfare reform and EITC expansion
- Unlikely that the EITC can explain it fully because other EITC changes haven't generated such large effects
- Sociological evidence shows that welfare reform pressured single mothers into working
- Single moms in the US were suddenly expected to work
- Maybe a unique combination of EITC reform, welfare reform, economic upturn, and changing social norms lead to this shift

Simple time trends consistently show that EITC expansions increased labor supply.

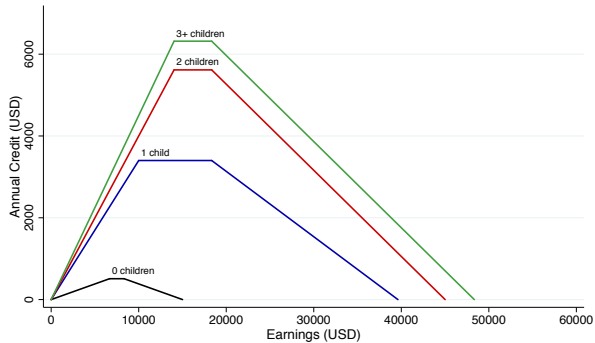
- A. True
- B. False
- C. Uncertain

Digging Deeper: EITC and Bunching at Kinks

- Basic labor supply theory predicts that we should observe bunching of individuals at the EITC kink points:
- Some individuals find it worthwhile to work more when subsidy rate is 40% (2 kids) but not when subsidy rate falls to 0%, so utility-maximizing labor supply can be exactly at the kink.
 - Amount of bunching is proportional to compensated elasticity: if labor supply is inelastic, then kinks in the budget set are irrelevant and do not create bunching
- Saez AEJ'10 finds bunching around the first EITC kink point only for the self-employed, suggesting this is likely due to reporting responses to maximize refunds rather than true labor-supply responses.

- Use US population wide tax return data since 1996
 - Substantial heterogeneity in the fraction of EITC recipients bunching (using self-employment) across geographical areas, which suggests information about EITC varies across areas.
 - Places with high self-employment EITC bunching display wage earnings distribution more concentrated around plateau
- This provides evidence of wage-earnings responses to EITC along the intensive margin.
- Key strategy: use birth of first child to estimate the causal effect of EITC on wage earnings.

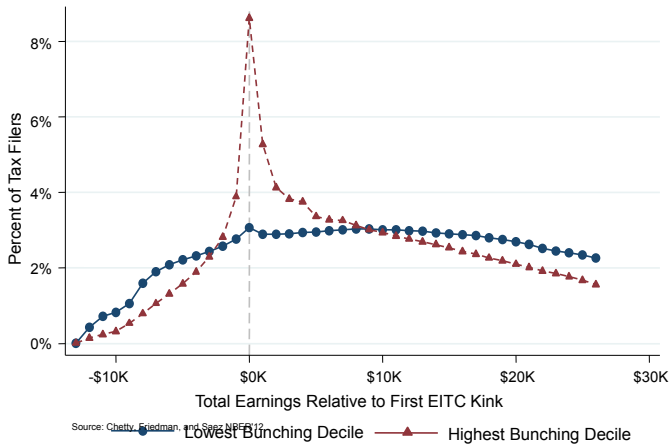
EITC Schedule in 2017



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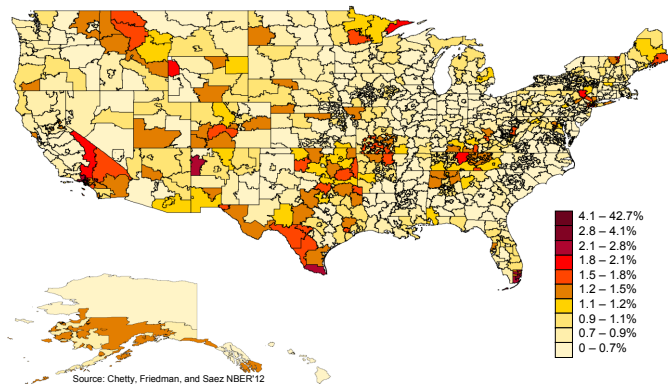
Source: Chetty-Friedman-Saez (2013)

Earnings Distributions in Lowest and Highest Bunching Deciles



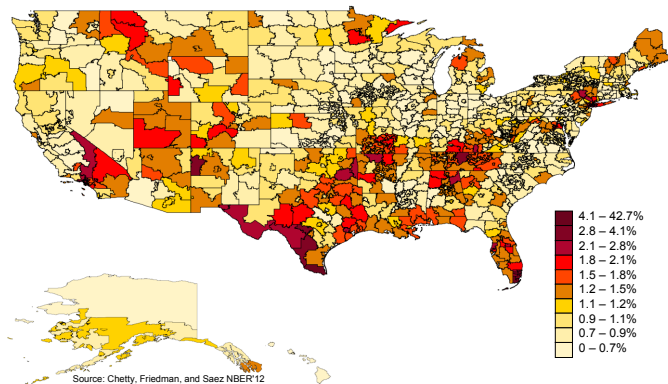
Source: Chetty-Friedman-Saez (2013)

Fraction of Tax Filers Who Report SE Income that Maximizes EITC Refund in 1996



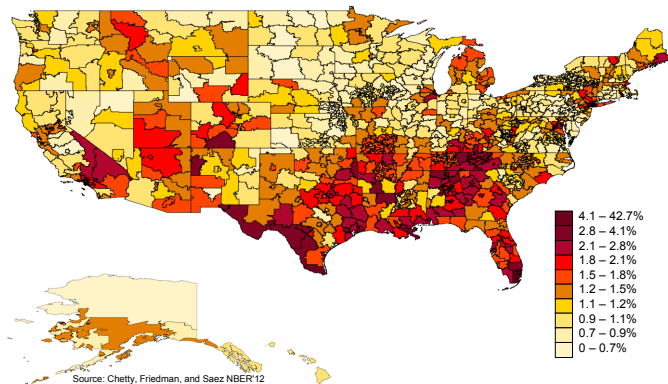
Source: Chetty-Friedman-Saez (2013)

Fraction of Tax Filers Who Report SE Income that Maximizes EITC Refund in 1999



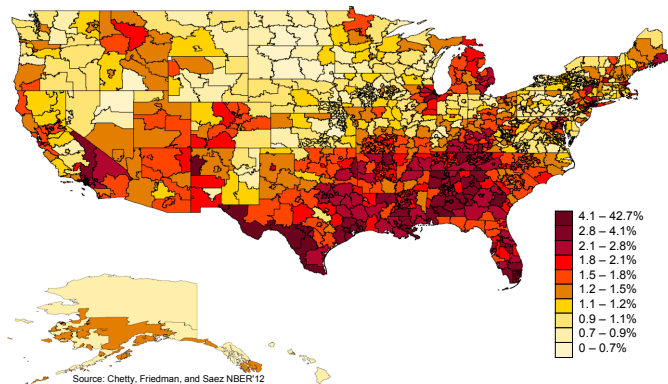
Source: Chetty-Friedman-Saez (2013)

Fraction of Tax Filers Who Report SE Income that Maximizes EITC Refund in 2002



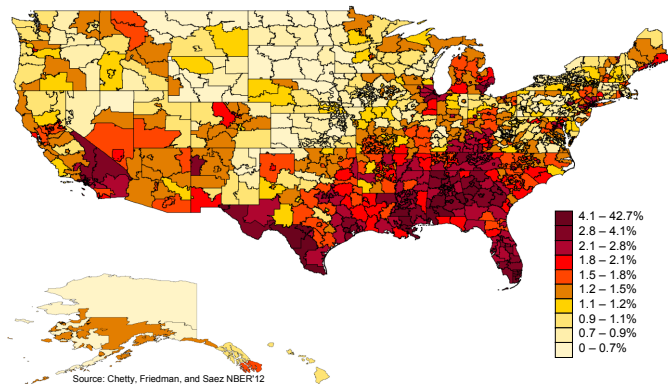
Source: Chetty-Friedman-Saez (2013)

Fraction of Tax Filers Who Report SE Income that Maximizes EITC Refund in 2005



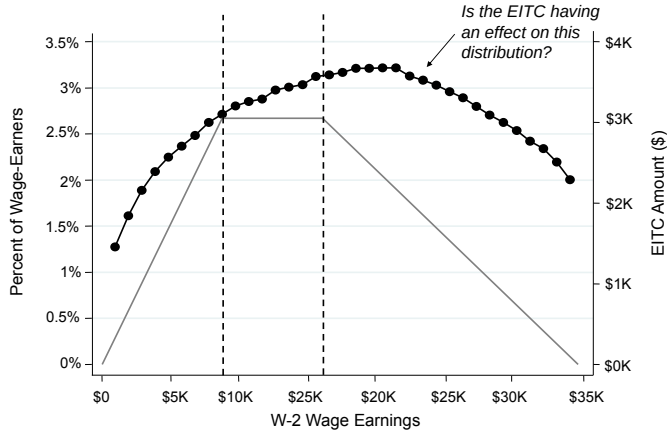
Source: Chetty-Friedman-Saez (2013)

Fraction of Tax Filers Who Report SE Income that Maximizes EITC Refund in 2008



Source: Chetty-Friedman-Saez (2013)

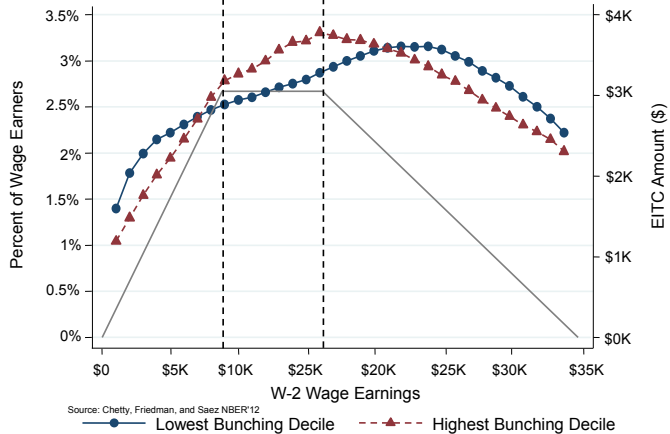
Income Distribution For Single Wage Earners with One Child



Source: Chetty, Friedman, and Saez NBER'12

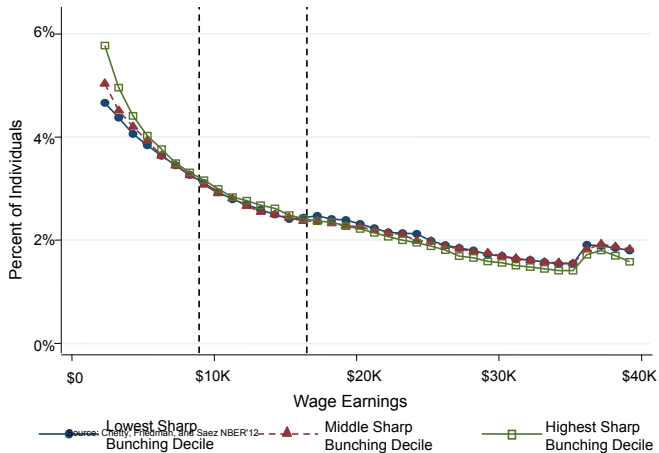
Source: Chetty-Friedman-Saez (2013)

Income Distribution For Single Wage Earners with One Child High vs. Low Bunching Areas



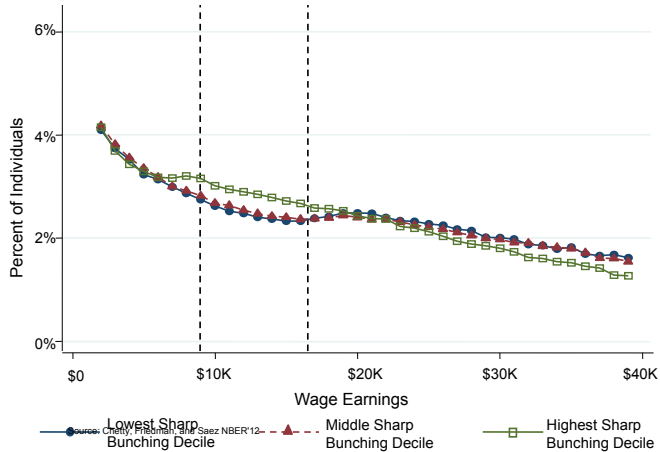
Source: Chetty-Friedman-Saez (2013)

Earnings Distribution in the Year Before First Child Birth for Wage Earners



Source: Chetty-Friedman-Saez (2013)

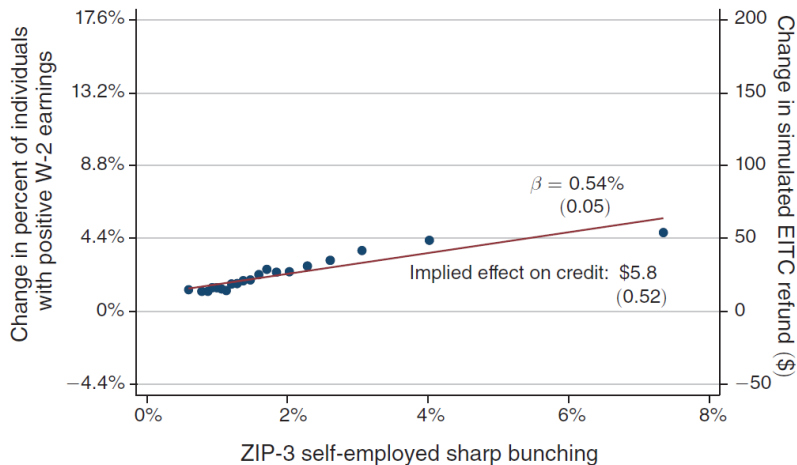
Earnings Distribution in the Year of First Child Birth for Wage Earners



Source: Chetty-Friedman-Saez (2013)

Extensive Margin Elasticity of 0.2

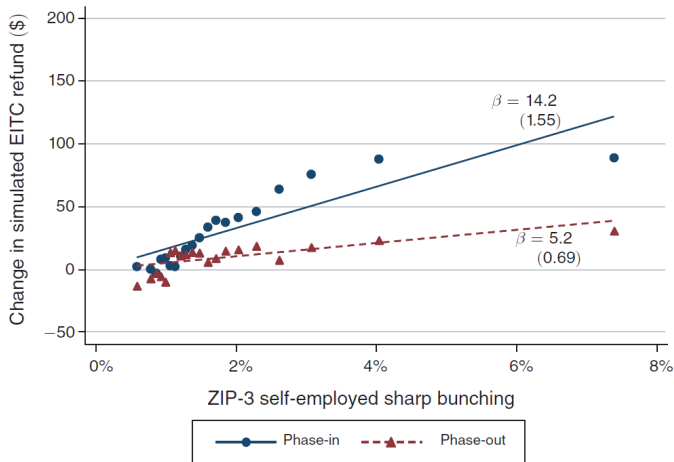
Panle B. Extensive margin: changes in fraction working around first birth



Source: Chetty-Friedman-Saez (2013)

Larger Phase-in Elasticity (0.3) than Phase-out (0.15)

Panel A. Changes in simulated EITC refund around births



Source: Chetty-Friedman-Saez (2013)

- Larger extensive margin and phase-in intensive margin effects than phase-out intensive margin effects
- In total, the EITC causes low earners to earn *more*. One way to see it is in poverty rates. Hence, the EITC satisfies the key condition for an EITC to be desirable: that the government saves money with a small EITC.

TABLE 4—IMPACT OF EITC ON WAGE EARNINGS DISTRIBUTION OF EITC-ELIGIBLE HOUSEHOLDS

	Percent of EITC-eligible households below threshold			
	50 percent of poverty line	100 percent of poverty line	150 percent of poverty line	200 percent of poverty line
	(1)	(2)	(3)	(4)
No EITC counterfactual	13.15	31.31	53.81	77.06
EITC with no behavioral response	8.92	21.37	41.56	70.82
EITC with avg. behavioral response in United States	8.16	21.00	41.97	71.29
EITC with top decile behavioral response	6.73	20.24	42.56	72.08

Source: Chetty-Friedman-Saez (2013)

Negative Income Tax (NIT) Experiments

- Best identification method: exogenously increase the tax rate / non-labor income with a randomized experiment
- NIT experiment conducted in 1960s/70s in Denver, Seattle, and other cities
- First major social experiment in U.S. designed to test proposed transfer policy reform
- Lump-sum transfers G combined with a steep phaseout rate τ (50%-80%) [based on family earnings] for 3 or 5 years.
- Analysis by Rees (1974), Munnell (1986) book, Ashenfelter and Plant JOLE'90, and others
- Several groups, with randomization within each; approx. $N = 75$ households in each group

Table 1
Parameters of the 11 Negative Income Tax Programs

Program Number	G (\$)	τ	Declining Tax Rate	Break-even Income (\$)
1	3,800	.5	No	7,600
2	3,800	.7	No	5,429
3	3,800	.7	Yes	7,367
4	3,800	.8	Yes	5,802
5	4,800	.5	No	9,600
6	4,800	.7	No	6,857
7	4,800	.7	Yes	12,000
8	4,800	.8	Yes	8,000
9	5,600	.5	No	11,200
10	5,600	.7	No	8,000
11	5,600	.8	Yes	10,360

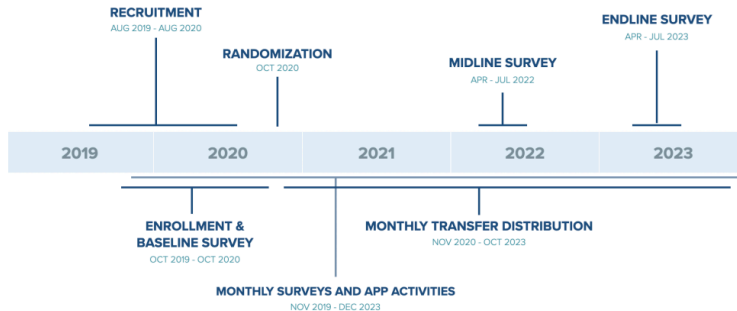
Source: Ashenfelter and Plant (1990), p. 403

- ① Significant labor supply response but small overall
- ② Implied earnings elasticity for males around 0.1
- ③ Implied earnings elasticity for married women around 0.5
- ④ Response of married women is concentrated along the extensive margin
- ⑤ Earnings of treated married women who were working before the experiment did not change much

A Recent Unconditional Cash Transfer Experiment

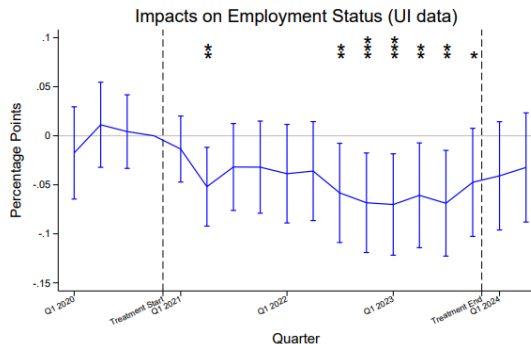
- Large-scale randomized experiment in two U.S. states providing unconditional cash transfers from Vivalt et al. (2024)
- Treatment: \$1,000 per month for 3 years to low-income adults
- Control group receives nominal payments (\$50/month)
- Implemented 2020–2023, overlapping COVID period in early phase
- Rich data: administrative employment records, surveys, and high-frequency time use

Figure III: Timeline of Study

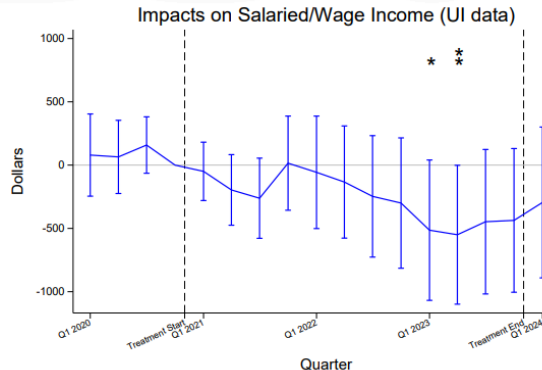


Source: Vivalt et al. (2024)

Extensive Margin

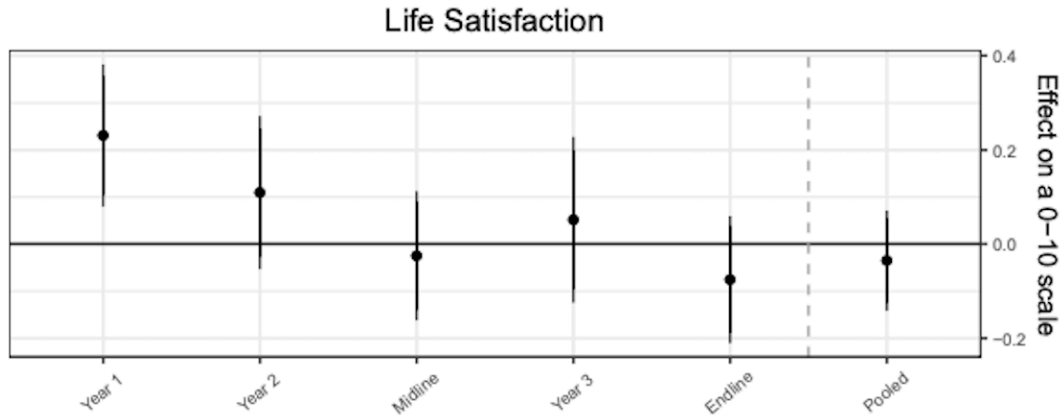


Intensive Margin



Source: Vivalt et al. (2024)

But their well-being improves



Source: Vivalt et al. (2024)

Social Determinants of Labor Supply

- Strong evidence that labor supply is not purely an individual decision based on standard invariant utility $u(c, l)$
- Social norms and institutions play large role: e.g. women's market labor supply
- US female labor force participation during World War II: 50% increase from '40 to '45 (2/3 reversed afterwards)
- Child penalties in female earnings vary a lot across countries (Kleven et al. AEA PP'19) and are not due solely to monetary incentives but also to norms about working moms
- Responses to taxes and transfers likely affected by social norms and institutions

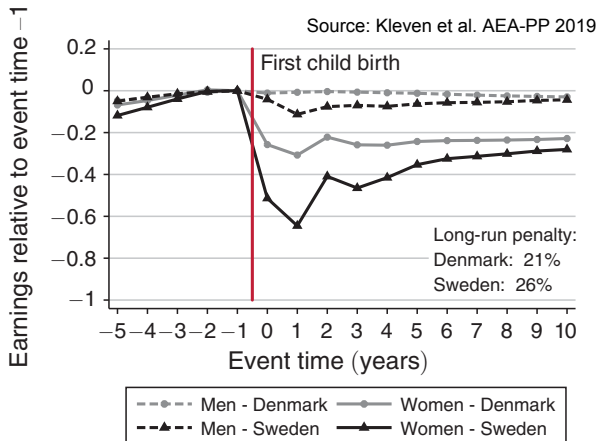


FIGURE 1. CHILD PENALTIES IN EARNINGS IN SCANDINAVIAN COUNTRIES

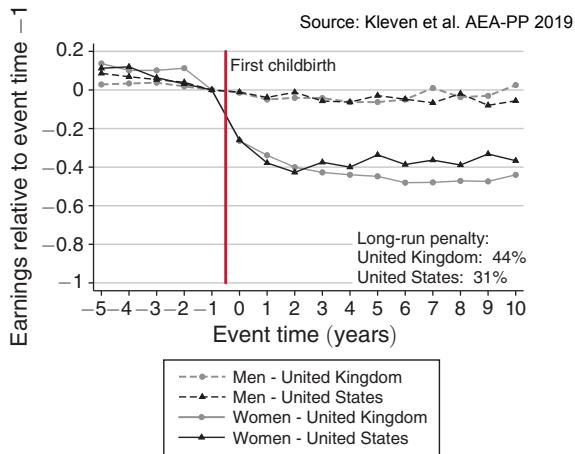


FIGURE 2. CHILD PENALTIES IN EARNINGS IN ENGLISH-SPEAKING COUNTRIES

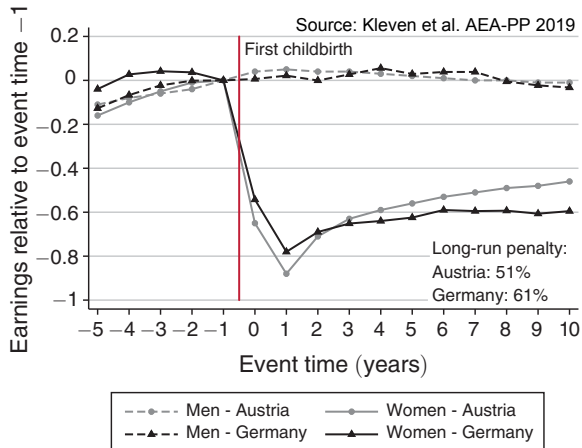


FIGURE 3. CHILD PENALTIES IN EARNINGS IN GERMAN-SPEAKING COUNTRIES

Top Taxable Income Elasticity

- Modern public finance literature focuses on taxable income elasticities instead of hours/participation elasticities, most relevant at top
- Two main reasons:
 - ① What matters for policy is the total behavioral response of taxable income to tax rates (not only hours of work but also occupational choices, avoidance, etc.)
 - ② Data availability: taxable income is precisely measured in tax return data
- Recent overview of this literature: Saez-Slemrod-Giertz JEL'12

Federal US Income Tax Changes

- Biggest tax rate changes have happened at the top
- Key recent reforms:
 - Reagan I: ERTA'81: top rate ↓ 70% to 50% (1981-1982)
 - Reagan II: TRA'86: top rate ↓ 50% to 28% (1986-1988)
 - Clinton: OBRA'93: top rate ↑ 31% to 39.6% (1992-1993)
 - Bush: EGTRRA '01: top rate ↓ 39.6% to 35% (2001-2003)
 - Obama '13: top rate ↑ 35% to 39.6%+3.8% (2012-2013)
 - Trump '17: top rate ↓ to 37%+3.8% (2012-2013)
- Taxable Income = Ordinary Income + Realized Capital Gains - Deductions
- Each component can respond to *MTRs*

Basic DD Does not Deliver What You Want

- Goolsbee JPE'00 analyzes CEO pay around the 1993 Clinton top tax rate increase [from 31% in 1992 to 39.6% in 1993 announced in late 1992]
- Find a strong taxable income effect via re-timing: exercising stock options (executives can choose the timing of their stock-option exercises)
- Large short-term response due to re-timing, much smaller long-term response
- Economists have now studied whether 2013 Obama top tax rate has generated income shifting from 2013 to 2012

TABLE 2
AVERAGE COMPENSATION BY TYPE FOR HIGH-INCOME EXECUTIVES
(in Thousands)

	1991	1992	1993	1994	1995
Taxable income	911	1,153	974	965	1,173
Salary	347	336	336	351	373
Bonus	198	207	241	284	330
LTIP payout	57	72	57	64	89
Options exercised	268	496	293	235	381
Other income (nontaxed)	36	37	66	54	78

SOURCE.—Author's calculations for executives with permanent income greater than \$275,000 per year.

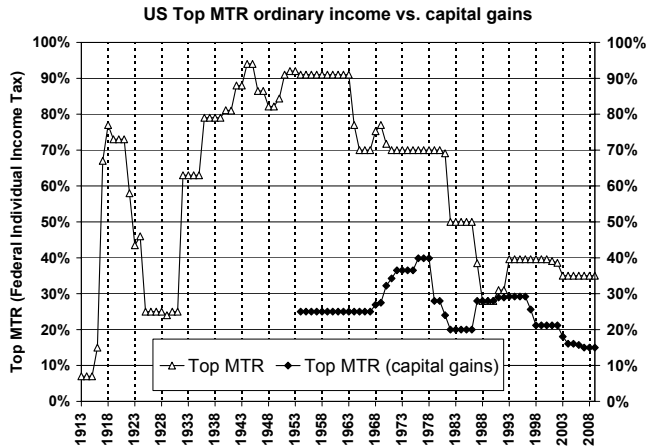
Source: Goolsbee (2000), p. 365

Intertemporal Substitution: Stock Options

- Major form of compensation of US top executives. Theoretical goal is to motivate executives to increase the value of the company (stock price $P(t)$)
- Stock-option is granted at date t_0 allow executives to buy N company shares at price $P(t_0)$ on or after t_1 (in general $t_1 - t_0 \simeq 3 - 5$ years = vesting period)
- Executive exercise option at (chosen) time $t_2 \geq t_1$: pays $N \cdot P(t_0)$ to get shares valued $N \cdot P(t_2)$. Exercise profit $N[P(t_2) - P(t_0)]$ (considered and taxed as wage income in the US)
- After t_2 , executive owns N shares, eventually sold at time $t_3 \geq t_2$: realized capital gain $N[P(t_3) - P(t_2)]$ (taxed as capital gains)

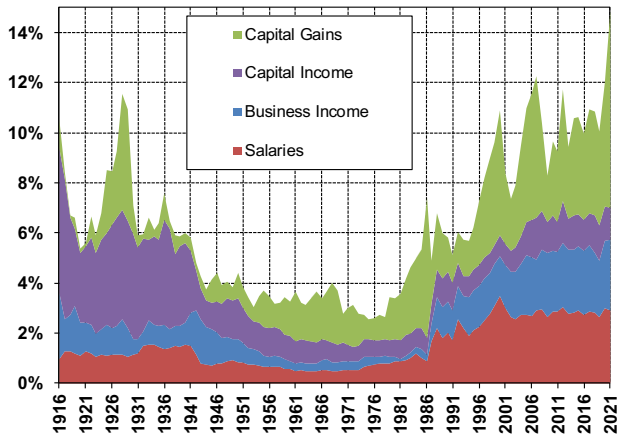
Intertemporal Substitution: Realized Capital Gains

- Realized capital gains occur when individual sells an asset [e.g., stock] at a higher price than buying price
- Individuals have flexibility in the timing of asset sales and capital gains realizations (any asset, not just stock options)
- Tax Reform Act of 1986 lowered the top tax rate on ordinary income from 50% to 28% but increased the top tax rate on realized capital gains from 20% to 28%
- Surge in capital gains realizations in 1986 [and depressed capital gains in 1987] to take advantage of low 20% rate before 28% tax rate applies
- Short-term elasticity is very large but long-term elasticity is certainly much smaller



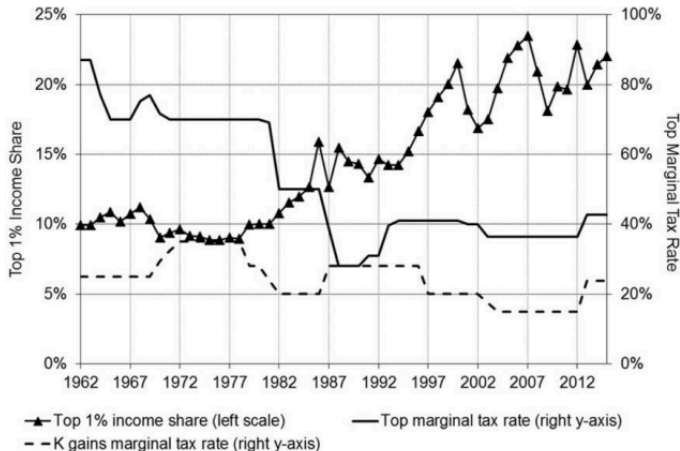
Source: Department of the Treasury, Office of Tax Analysis

US Top 0.1% Pre-Tax Income Share and Composition



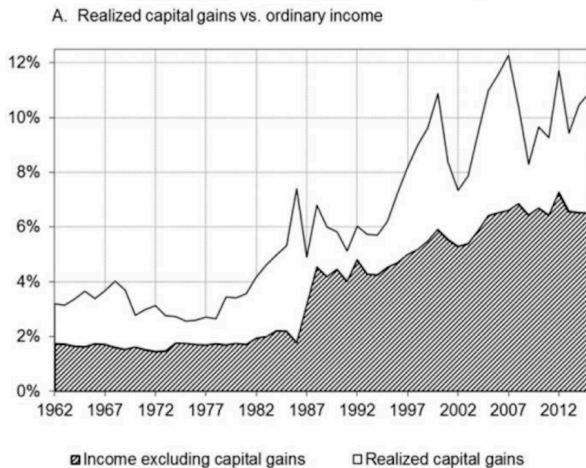
Source: Piketty and Saez, 2003 updated. Series based on pre-tax cash market income including or excluding realized capital gains, and always excluding government transfers.

Income Shifting from Obama 2013 Top Tax Rate Increase



Source: Saez (2017)

Intertemporal Income Shifting at the Top



Source: Saez (2017)

Long-Run Evidence

- Goal: evaluate whether top pre-tax incomes respond to changes in one minus the marginal tax rate (=net-of-tax rate)
- Focus is on pre-tax income before deductions and excluding realized capital gains (taxed at lower separate rate, timing flexibility)
- Strategy #1: U.S top rate changes
- Strategy #2: International top rate changes

Income Share Based Elasticity Estimation

- Tax Reform Episode: Compare top pre-tax income shares at t_0 (before reform) and t_1 (after reform)

$$e = \frac{\log sh_{t_1} - \log sh_{t_0}}{\log(1 - \tau_{t_1}) - \log(1 - \tau_{t_0})}$$

where sh_t is top income share and τ_t is the average MTR for top group in year t

- Identification assumption: absent tax change, $sh_{t_0} = sh_{t_1}$

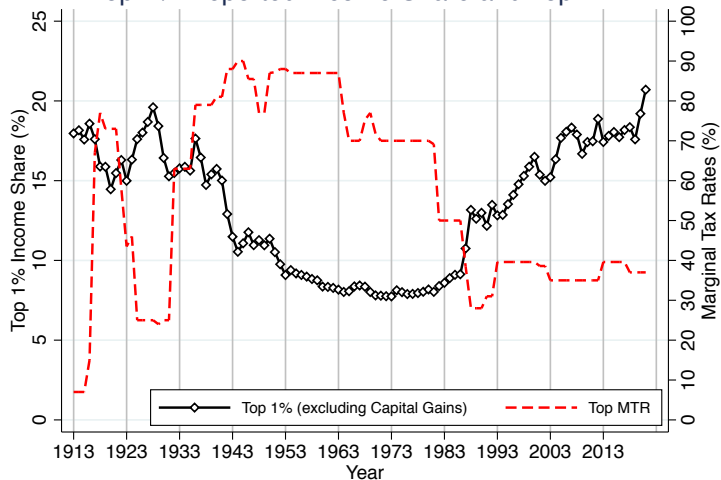
① Full Time Series: Run regression:

$$\log sh_t = \alpha + e \cdot \log(1 - \tau_t) + \varepsilon_t$$

and adding time controls to capture non-tax related top income share trends

- Identification assumption: non-tax related changes in $sh_t \perp \tau_t$

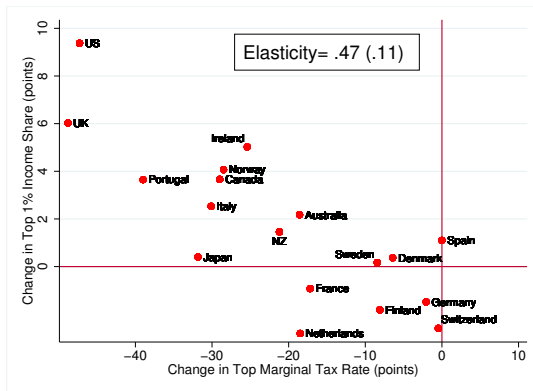
Top 1% Reported Income Share and Top MTR



- Red flags in the time trends: (a) top share keeps rising after 1986, and (b) top share doesn't move in lock-step (little change after 1981, wrong sign after 1993)
- Key issue: Skill-biased technical change (e.g. computers) may have been increasing top-incomes at the same time Counterfactual (what would have happened in absence of tax cut) is unknown
- Separate issue: Shifting from corporate tax base to personal tax base (talk about later)

Long-Run International Evidence

- Use pre-tax top 1% income share data from 18 OECD countries since 1960 using the World Top Incomes Database
- Compute top (statutory) individual income tax rates using OECD data [including both central and local income taxes].
- Plot change in top 1% pre-tax income share (between 1960-4 and 2005-9) against change in top MTR (between 1960-4 and 2005-9)
- Key advantage: Controls flexibly for time trends (every country got computers but only U.S. and U.K. had huge reductions in the top MTR)



Change in Top Tax Rate and Top 1% Share, 1960-4 to 2005-9

Source: Piketty, Saez & Stantcheva (2011)

Top Taxable Income Elasticity

- Key parameter: ETI (e) is the main sufficient-statistic behavioral input for top-rate formulas.
 - Higher e means a smaller tax base at high rates, so lower revenue-maximizing and lower optimal top rates.
- Useful benchmark from best available evidence: $e \approx 0.5$.
 - Revenue-maximizing benchmark: $\tau^L = \frac{1}{1+e} \approx 67\%$.
 - Top-bracket benchmark ($a = 1.5$): $\tau^* = \frac{1}{1+ae} \approx 57\%$.
- Note: Elasticity is regime dependent.
 - Diamond-Saez (2011): with broader bases and fewer shelters, ETI can be lower, implying a higher optimal top rate
 - If avoidance/evasion is easier, ETI can be higher, implying a lower optimal top rate

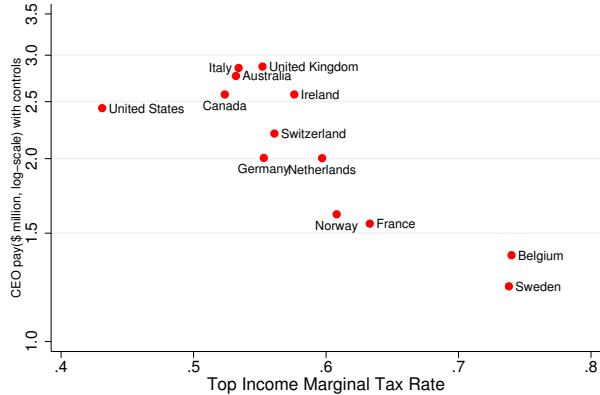
Top Tax Rate Follow-Up #1: Externalities?

- Potential positive externalities: Technological advances and charity. Would imply lower optimal top rates.
- Potential negative externalities: Rent extraction (high earners extracting pay at the expense of workers and middle class shareholders when tax rates are low) and “robber-baron power”. Would imply higher optimal top tax rates.
- Weak evidence consistent with both effects (see Piketty-Saez-Stantcheva, 2014).

Panel B. Growth (adjusted for initial 1960 GDP)



B. Average CEO compensation with controls



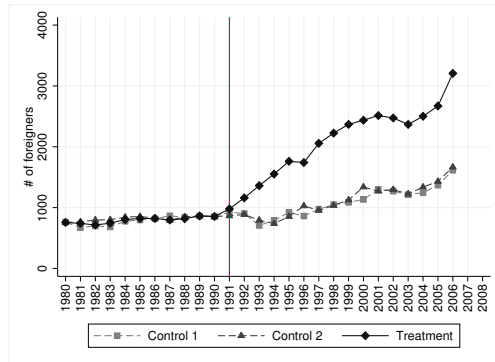
Controlling for firm profitability, governance, size, and industry

Top Tax Rate Follow-Up #2: International Migration

- Public debate concern that top skilled individuals move to low tax countries (e.g., within the EU) or low tax States (within US)
- Migration concern bigger in public debate than concern about supply-side within a country
- Little work on tax induced international migration of top skilled workers (see Young et al. 14 within US states)
- Hard to get data but interesting variation due to proliferation of special low tax schemes for highly paid foreigners in Europe
- Kleven-Landais-Saez AER'13 look at football players in Europe (highly mobile group, many tax reforms) Find significant migration responses to taxes after football market was de-regulated in '95

- Exploit the 1991 tax scheme in Denmark: high earnings immigrants ($\geq 103,000$ Euros/year) taxed at flat 25% rate (instead of regular tax with top 59% rate) for 3 years
- Use population wide Danish tax data and DD strategy: compare immigrants above eligibility earnings threshold (treatment) to immigrants slightly below threshold (control)
- Key Finding: Scheme doubles the number of highly paid foreigners in Denmark relative to controls
- Elasticity of migration with respect to the net-of-tax rate above one (much larger than the within country elasticity of earnings, see also Moretti-Wilson 2017)
- Progressive taxation in the European Union may be difficult to sustain without tax coordination (like the U.S. states “coordinating” to redistribute federally)

Figure 3: Total number of foreigners in different income groups



Control 1= annualized income between .8 and .9 of threshold
 Control 2= annualized income between .9 and .995 of threshold.

Source: Kleven, Henrik Jacobsen, et al (2013)

Navigation icons: back, forward, search, etc.

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